

**VISTRA CORP. RESPONSE TO
NETWORKING AND INFORMATION TECHNOLOGY RESEARCH AND
DEVELOPMENT NATIONAL COORDINATION OFFICE'S
REQUEST FOR INFORMATION**

I. INTRODUCTION

Vistra welcomes the opportunity to provide input on the Office of Science and Technology Policy's (OSTP) Artificial Intelligence (AI) Action Plan. This document is approved for public dissemination. The document contains no business-proprietary or confidential information. Document contents may be reused by the government in developing the AI Action Plan and associated documents without attribution.

Vistra would like to provide input on the need for clarity on wholesale electricity market and transmission policies. The Federal Energy Regulatory Commission (FERC) has direct responsibility to approve wholesale electricity market rules and electric transmission cost allocation and open access policies. The Administration can provide leadership through a clear articulation of its policy goals to guide FERC's decision-making process.

As discussed below, Vistra urges the Administration to make clear that FERC should take action to provide the policy certainty necessary to facilitate the interconnection of large data center loads that are critical to our nation's security and economic growth. These large loads will seek a variety of electric supply arrangements, including co-locating with existing generation resources. The Administration should make clear that FERC should ensure that all supply options are accommodated. It is imperative that FERC choose a path that is achievable and will produce sufficient policy certainty and clarity with requisite speed. The United States is in a global race for data supremacy which may be won or lost based on investments made in the next several years. FERC has already been deliberating on this topic for nearly a year. It is

imperative that FERC not close the door on this geopolitically pivotal investment opportunity, whether through further delay or actions that constrain market opportunities.

Some parties may seek to delay work to interconnect data center electric load in the absence of a clear articulation of the willingness to facilitate all supply arrangements, including co-location arrangements. As a result, the current policy vacuum is undermining efforts to meet the specific needs of data center developers. Allowing that policy vacuum to persist will handicap the nation's ability to attract and retain critical large loads of all types, not just data centers.

Vistra recognizes that FERC has initiated a policy-making effort in one centralized wholesale market.¹ We remain hopeful FERC will take quick action to fill the policy vacuum with market-oriented solutions. Nonetheless, Vistra believes it would be beneficial for the OSTP to establish high-level policy expectations through its AI Action Plan. To that end, Vistra encourages OSTP's AI Action Plan to adopt the following high-level principles:

- **Support for all data center supply arrangements, including co-located load and generation arrangements**
 - The OSTP's AI Action Plan should recognize that data center interconnections to our power grid are critical to economic growth and our national security, and the policy of the United States is to facilitate these interconnections.
 - Large load interconnection processes should be conducted in accordance with open access principles, in a manner that ensures non-discriminatory treatment of all supply arrangements, including co-located load and generation arrangements.
- **Large electric loads should pay for the services they use**
 - Recognizing the myriad of supply arrangements, transmission providers, including Regional Transmission Organization (RTOs), need to offer flexibility, and potentially identify different rate structures, to ensure that large electric loads pay their fair share, but not more than their fair share. Rate structures that require large electric loads to pay more than their fair share risk making it easier for foreign competitors to attract investments in data infrastructure that would be deployed in the United States.

¹ *PJM Interconnection, L.L.C.*, 190 FERC ¶ 61,115 (2025) ("PJM Show Cause Order").

- Transmission providers, including RTOs, should ensure that transmission rates do not discriminate against data centers relative to other large loads.
- **Any concern about resource adequacy should be addressed through capacity market or other resource adequacy constructs**
 - Resource adequacy concerns from increasing load growth are important to acknowledge and address.
 - In the medium- to long-term, the solution is ensuring that price signals suffice to bring online, and keep online, resources that ensure resource adequacy is achieved.
 - In the short-term, the policy of the United States should encourage, but not mandate, market-based solutions to incentivize large loads to provide flexibility in periods of system stress.
 - While resource adequacy may be a valid concern generally, transmission providers, including RTOs, must not create hurdles or otherwise inhibit integration of data center load as a means to address such resource adequacy concerns. Specifically, the Administration should make clear that co-located behind-the-meter data centers should not be slowed down or prohibited as a way of slowing down overall load growth to address resource adequacy concerns. Doing so not only discriminates between customers who connect front-of-the meter and those who co-locate with a generation resource but it also inhibits the speed to power that customers are seeking.
- **New large loads should be allowed, but not be required, to bring their own generation as a condition of interconnecting to the electric grid**
 - When customers choose to contract with new generation sources, transmission providers, including RTOs, should adopt policies to better coordinate the interconnection of new load and new contracted generation.
 - New large electric loads that support artificial intelligence should be able to contract with both new and existing competitive generation resources throughout the United States, including in areas where vertically integrated utilities have been granted an electric supply monopoly.

II. ABOUT VISTRA

Vistra is a leading, Fortune 500 integrated retail electricity and power generation company based in Irving, Texas, providing essential resources for customers, commerce, and communities as the nation's largest competitive power provider and one of the nation's largest competitive retail providers. Through its subsidiaries, Vistra operates in six of the seven

competitive markets in the U.S.. Vistra owns and operates approximately 41,000 MW of generation and storage resources with a diverse portfolio of technologies. Vistra also provides nearly five million residential, commercial, and industrial customers with retail electricity and natural gas service.

III. COMMENTS

A. The Policy of the United States Should Support All Electric Supply Options, Including Co-Located Load and Generation Arrangements

The starting point for any AI policy should be the recognition that interconnection of new large electric loads represents a foundational element of the United States' economic prosperity and national security. There are a myriad of options for electric supply arrangements and load and generation configurations (i.e., front-of-the-meter load, new load co-located with new generation, and new load co-located with existing generation). The first two supply arrangements will take time to materialize. Indeed, some transmission providers have initiated a moratorium on new data center interconnections.² It is critical that transmission providers, including RTOs, look for flexibility in the governing rules to best facilitate all supply arrangements, including co-location of new load with existing resources, to the extent they are fundamentally consistent with open access principles. In the near-term, co-location of new load with existing generation will be critical to limit the possibility that the US will fall behind in the global AI race.

New large loads will seek a variety of arrangements that suit each customer's unique preferences and needs. Co-location is an industry imperative driven by consumer demand for products and services that require advanced computing and the data center infrastructure on

² *In the Matter of the Application of Ohio Power Company for New Tariffs Related To Data Centers and Mobile Data Centers*, Case No. 24-508-EL-ATA (Ohio PUC May 13, 2024) (establishing a moratorium on taking new data center customers until a new tariff is in place).

which it relies. Co-location arrangements are an important option for customers, especially in the near-term, as they seek to expediently come online. At the same time, co-location arrangements of all types—whether for data center load or other large commercial and industrial loads—ultimately support resource adequacy by attracting new investment capital. Steady electric load growth provides electric generation resource developers, and investors, with confidence that price signals will not necessarily be short-lived. Delay in accommodating such arrangements will mute investment signals and cause that capital to be sent elsewhere, potentially overseas.

B. Large Electric Loads Should Pay for the Services They Use

Discussions within the electricity sector suggest there is a wide consensus that large electric loads, including co-located loads, must “pay their fair share” of system costs.³ Vistra agrees that co-located loads that take service from the grid should pay their “fair share.” However, where the rubber meets the road on this issue is in how to determine what constitutes a “fair share”—and whether the “fair share” is, in some cases, zero. The guiding principle on this issue should be FERC’s long-standing policy that the system charges for a load that offsets its use of the system through co-located generation should be based on the load’s *actual* use of the system on a *net* basis.⁴ To that end, it is imperative to recognize that not all large loads use transmission service; it is entirely possible for co-located loads to be fully isolated from the grid and designed to never, or very rarely, take service from the grid. In such configurations, the Commission’s task is to ensure that such loads are not charged an *unfair* share by charging them

³ PJM Show Cause Order at P 22.

⁴ See Motion for Leave to Answer and Answer of Vistra Corp., Docket Nos. ER24-2888-000, *et al.*, at 2-11 (Nov. 19, 2024).

for more than their actual use of the system or by wrongly treating them as similarly situated to other customers that take service exclusively from the grid.

In setting policy on transmission service to large loads, regulators should approach their regulatory responsibilities with the flexibility necessary to account for the many types of co-location configurations. Each large load customer has different commercial, technical, and operational needs, which requires a bespoke contractual arrangement and facility configuration. Recognizing that each such configuration is unique, regulators should not attempt to make policy that is intended to fit a particular type of configuration. Rather, regulators should focus on how the combined facility is impacting the system where the energy leaves or enters the transmission system. The regulator's sole consideration in determining whether, or how, to charge a load for transmission system costs should be whether and, if so, how the customer's *net* load impacts the grid.

This concept is well developed because co-location of load with a generator is not new. It dates back at least to the early implementation of the Public Utility Regulatory Policies Act over forty years ago, which has been successfully used to serve a broad range of large load configurations, including arrangements in which heavy industrial facilities have co-located with large co-generation facilities.⁵ In several other contexts since that time, FERC has made clear that load's system charges, and indeed the very presence of a FERC-jurisdictional transaction, should be measured based on the load's actual use of the system as determined based on its net use.⁶ In fact, one RTO (PJM) has long administered its Behind-the-Meter Generation rules based

⁵ See, e.g., *Cogenerations Tech. & Dev. Co.*, 31 FERC ¶ 62,299, 63,449 (1985) (approving certification of a co-located co-generation facility in 1985).

⁶ See, e.g., *Midwest Indep. Transmission Sys. Operator, Inc.*, 106 FERC ¶ 61,073 at P 24 (2004); *Cal. Indep. Sys. Operator Corp.*, 143 FERC ¶ 61,100 at P 30 (2013).

on this very principle and, in accepting those rules, FERC found that the use of netting in that context “encourage[s] qualifying entities with behind the meter generation to reduce their use of the PJM transmission system.”⁷

Vistra submits that there is no ground for distinguishing co-located loads from other loads such that co-located loads’ grid charges are not based on their actual use of the system, while other loads grid charges are determined based on that principle. To avoid undue discrimination, all similarly situated loads should be treated similarly.

C. Any Concern About Resource Adequacy Should Be Addressed Through Capacity Markets or Other Resource Adequacy Constructs

Some have suggested that policies with respect to large electric load should be dictated, at least in part, by resource adequacy concerns. As explained further below, such suggestions are misplaced. While there are resource adequacy challenges looming in some regions, regulators should seek to address the actual causes of those challenges, rather than blame load growth. In other words, regulators should view load growth as an opportunity to improve resource adequacy, rather than viewing resource adequacy as a constraint on the United States’ load growth. To achieve that end, FERC should strive for capacity market reforms that create the proper incentives to add the needed infrastructure to meet the continued resource adequacy needs. Adopting punitive policy measures for certain types of load in an effort to slow down load growth and thereby address such resource adequacy concerns would be ill-conceived and perhaps unlawful.

Further, Vistra asserts that adopting such an approach for co-location configurations would be regressive, actually making it *more difficult* to maintain resource adequacy. At the end

⁷ *PJM Interconnection, L.L.C.*, 107 FERC ¶ 61,113, at P 27 (2004).

of the day, improving resource adequacy requires attracting capital. A market and regulatory framework that supports large loads and customers' right to efficiently deploy capital for co-location arrangements will send a clear signal that investment in generation resources is needed. A framework that does not support large electric load customers in that way will send a clear signal that the market does not welcome the load growth that would support investments in new generation. Such a policy will also put the United States behind in the global race to develop and deploy artificial intelligence innovations, to the detriment of national security, the United States' economy, and general social well-being.

Some electricity industry participants have asserted that new large load co-located with existing generators is "taking megawatts off the grid,"⁸ Vistra asserts that such assertions are fundamentally flawed. Those assertions implicitly assume that the load at issue would not materialize on the grid in the absence of a co-location arrangement. Vistra believes that that is a flawed assumption because large loads will more often than not eventually show up on the grid in front-of-the-meter if a co-location arrangement is unavailable; it will just take them longer and it will be more expensive, including potentially requiring grid upgrades or additions the cost of which are spread to all customers.. As a result, there is no meaningful resource adequacy difference between loads interconnected behind-the-meter and in-front-of-the-meter. Those who assert that behind-the-meter co-location is taking megawatts off the grid are merely engaging in a thinly-veiled plea to slow down load growth so the markets can address resource adequacy concerns first. That is not only an unlawful basis for denying an interconnection, it is also a recipe for undermining resource adequacy and harming the national interest.

⁸ See, e.g., *Large Loads Co-Located at Generating Facilities*, Transcript of November 1, 2024 Commissioner Led Technical Conference Regarding Large Loads Co-Located at Generating Facilities, Docket No. AD24-11-000, at 39:4-12, 114:4-7.

By no means should the above be interpreted to downplay the importance of resource adequacy and capacity market issues related to new large loads—whether or not they are co-located. However, those issues should be addressed through market improvements, not large electric load policies. While Vistra continues to believe that resource adequacy markets represent a sound medium-term solution to the resource adequacy challenge posed by load growth, a near-term solution might also be warranted. Finding market-based methods to enhance the flexibility of large loads during periods of system stress could provide the type of operational flexibility that could help maintain reliability until investors have time to respond to the capacity market’s medium-term investment signals. Recognizing the potential in this space, the Electric Power Research Institute recently announced the DCFlex initiative to test strategies for enhancing data center flexibility.⁹

D. New Large Loads Should Be Allowed, Not Be Required, to Bring Their Own Generation as a Condition of Interconnecting to the Electric Grid

To address perceived resource adequacy concerns, some have suggested that new large loads should be required to contract with new generation as a condition of interconnecting. This suggestion is misguided and counter-productive. Just as it would be unreasonable to mandate that a developer of a large real estate project bring its own generation to serve its load, so too with large data and industrial facilities. That type of mandate would be a recipe for chasing capital overseas. In contrast, providing developers the opportunity to do so where it makes sense commercially and technically creates optionality will *attract* capital and foster innovation.

In fact, there are many existing generating resources on today’s grid that run far below their maximum capacity factor over the course of a year. Policy should encourage that new large

⁹ *EPRI Launches Initiative to Enhance Data Center Flexibility and Grid Reliability*, EPRI (Oct. 29, 2024), <https://www.epri.com/about/media-resources/press-release/yimzJV2Xnv9cqiZTaU1zxBeDIETwYQk1>.

data center loads are able to contract with existing resources to soak up this excess capacity before billions are invested in building new generation.¹⁰ In reality, resource adequacy concerns around data centers are focused on the very few hours of a given year in which the maximum output of the grid is needed to ensure reliability. On most average days, there are generating resources that are not generating their full output and these resources can be used to power data centers. During the relatively few hours of the year that these resources' maximum output is needed, data centers often have backup generation that can be utilized to allow them to effectively curtail their grid demand. Utilizing these existing resources is a much faster and more economic way of supplying data center load than potentially overbuilding brand new baseload generation.

As discussed above, new large loads are as much an opportunity to address resource adequacy as they are a challenge to resource adequacy. In our experience, many potential data center customers are interested in a combination of existing and new generation to get online as quickly as possible and then to get to the desired scale. Requiring new AI data centers to wait to interconnect until new generation can be interconnected will handicap the United States' ability to maintain the lead it enjoys in the AI race.

While Vistra opposes a “bring-your-own-generation” mandate, we believe there are several reforms that can encourage new AI data center customers to contract with new generation. These reforms would allow better coordination between the load and generator interconnection processes and give new AI data center loads greater choice in their electricity supplier.

¹⁰ See e.g., Norris, Tyler, Timothy Profeta, Dalia Patino-Echeverri and Adam Cowie-Haskell (2025). *Rethinking Load Growth: Assessing the Potential for Integration of Large Flexible Loads in US Power Systems*. Retrieved from <https://hdl.handle.net/10161/32077>.

New AI data center electricity loads can have difficulty contracting with new generation because the load interconnection process is typically separate from the generation interconnection process. In regions with an RTO, the load interconnection process is largely conducted by the local transmission owner and the generation interconnection process is conducted by the RTO. As a result, the new AI data center load cannot be confident the generator with which it would like to contract will be interconnected when the data center is ready to come online. Any policy that allows the load and generation interconnection processes to better coordinated will therefore increase the likelihood AI data centers will contract with new generation.

This issue is fairly new and has not benefited from much discussion by market participants. Vistra offers several ideas to facilitate additional discussion. First, a transmission provider, including an RTO, could create a joint load and generation interconnection process that would allow the interconnection study to account for the existence of the generator when studying the load, and vice versa. This could minimize the transmission system upgrades needed to interconnect both the load and the generator, speeding the interconnection of both. Second, as part of this joint process, the transmission provider or RTO could study the joint application on a priority basis given the study should be more straightforward. Finally, FERC could choose to give RTOs primary responsibility for all load interconnections so that the RTO is better able to account for the combination of new load and new generation when conducting interconnection studies. This would allow investors to make an apples-to-apples comparison of the time and financial resources associated with different locations, facility configurations, and interconnection options.

Due to the configuration of the fiber optic network and the tendency for data centers to cluster in the same geographic region, some new AI data centers may have a limited choice of electricity supplier. Specifically, new AI data centers may want to locate in the territory of a monopoly vertically integrated utility. In this circumstance, the new AI data center is typically limited to buying power from the monopoly utility at its existing tariff rates. The new AI data center essentially must accept whatever price, terms, and conditions the monopoly offers if the customer wants power. The lack of competition increases cost to the new AI data center and also could eliminate the sense of urgency the monopoly utility feels to provide service. Rather, the new customers simply have to wait until the monopoly utility finishes planning, procurement, contracting, and regulatory processes before it gets the utility's commitment to provide electric service. In order to meet the opportunity and national security imperative of winning the global AI race, new large electric loads that support artificial intelligence should be able to contract with competitive generation resources throughout the United States, including in areas where vertically integrated utilities have been granted an electric supply monopoly.¹¹ Allowing data centers to access competitive markets and negotiate directly with independent generators will yield all the benefits of competition and also protect the monopoly utility's other customers from potential cost shifts.

¹¹ See e.g., Todd Glass, "Achieving AI dominance through competitive power markets," *Utility Dive*, January 27, 2025, available at <https://www.utilitydive.com/news/ai-data-centers-competitive-power-markets/738275/>.

IV. CONCLUSION

Vistra appreciates the opportunity to submit this input into OSTP's AI Action Plan and encourages the Administration to consider them in determining how to efficiently and effectively accommodate the co-location of large loads at generation facilities.

Respectfully Submitted,

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